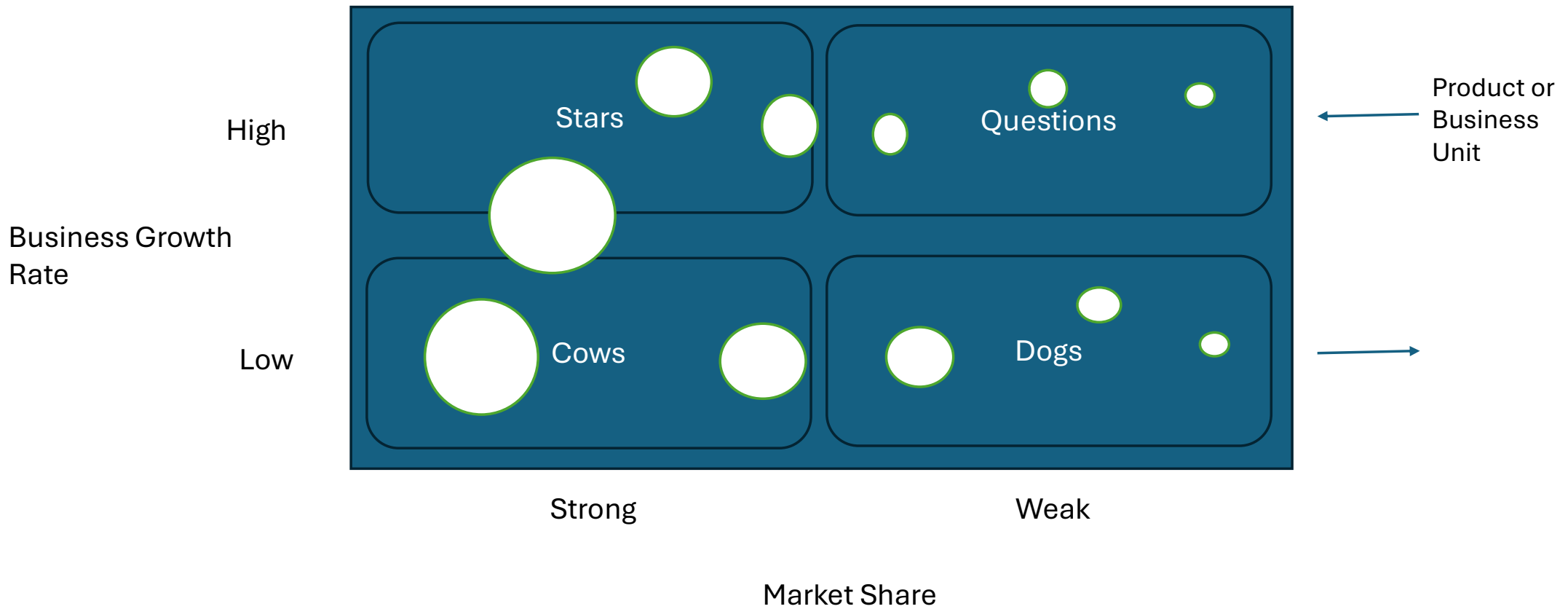


The Portfolio Matrix: A tool for allocating resources



Organizing

Organization – A formalized intentional structure of roles or positions.

What does intentional structure of roles mean?

- People fill certain roles.
- People can work to maintain continuity smoothly, effectively, and efficiently in groups.

Formal and Informal Organization

- **Formal Organization** – The structure must furnish an environment in which individual performance, both present and future, contributes most effectively to group goals.
- **Informal Organization** – A network of interpersonal relationships that arise when people associate with each other.

Organizational Division: The Department

Department – A distinct area, division, or branch of an organization over which a manager has authority for the performance of specified activities.

Organization levels and the Span of Management

- A wide span of management is associated with few organizational levels; a narrow span, with many levels.

Smaller Span of Control

- Lyndal Urwick – indicates 5 as ideal.
- Fayol – 5 to 6 subordinates.

- If geographic dispersion is high, then smaller span of control.
- A manager adding value by training and developing new workers.
- If the manager has other responsibilities, such as committees, projects, liaising, etc.

Wider Span of Control

- If employees are highly capable, they can be left on their own, theory Y.
- An experienced manager with good understanding of task and knowledge will be able to supervise better.
- If manager handles subordinates performing similar tasks.

Mc Gregor's Theory X and Theory Y

Theory X	Theory Y
• Heightened Supervision	• Contentment with the job (positive emotions resulting from one's job).
• External rewards	• Tasks without direct supervision
• Penalties	• Asset to the company
• Negative assumptions about the worker	• Avenues for employees to design, construct and publish their work.
• Hard approach - "We vs They"	
• Soft approach – Neglecting employees to an extent that they feel entitled	

Reengineering the organization

- Reengineering is also called “starting over” – ‘If I were recreating this company today (from scratch), knowing what I know now and given current technology, what would it look like?’
- Reengineering is “the fundamental rethinking and radical design of business processes to achieve dramatic improvements in critical contemporary measures of performance, such as cost, quality, service, and speed.

Organizational Structure: Departmentation

- Luther Gulick identifies 4 bases: 4 Ps
 - Purpose (function)
 - Process
 - Persons (Clientelle)
 - Place
- Single Executive
- Staff Principle
- Delegation
- Span of Control
- Human factor and time – time as input, output, flow of events and gap between events

Organization Structure: Departmentation

- Departmentation by **enterprise function (Purpose)** – Grouping of activities according to the functions of an enterprise such as production, sales, and financing.
- Departmentation by **territory or geography (Place)** – Grouping of activities by area or territory is common in enterprises operating over wide geographic areas.
- Departmentation by **customer grouping (Persons)** – grouping of activities that reflects a primary interest in customers.
- Departmentation by **product** – Grouping of activities according to products or product lines, especially in multiline, large enterprises.

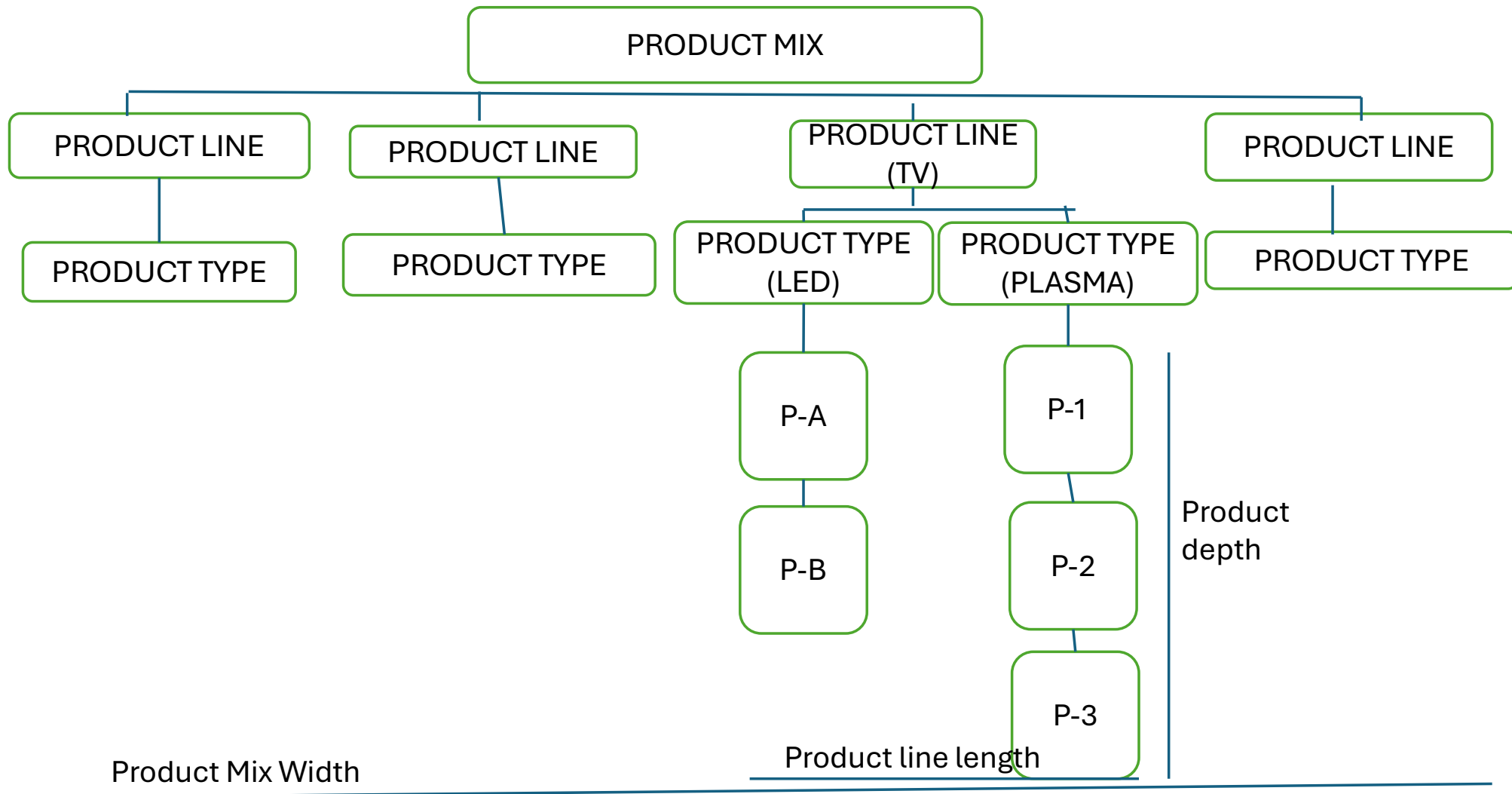
Departmentation by enterprise function

- Departmentation by customer grouping – grouping of activities that reflects a primary interest in customers.
- Consumer departments (in a large bank)
 - Encourages focus on customer needs
 - Gives customers the feeling that they have an understanding supplier (banker)
 - Develops expertise in customer area

The total product: Levitt

- How intangible elements could be added to a product, transforming it into an offering that was often more valuable than the physical attributes alone.





Matrix Organization

- Chris Argyris believed that matrix organizations are more effective than traditional pyramidal structures for tasks that require more commitment and innovation.
- He believed that organizations should match the form of their organization to the nature of their decisions and the requirements of the task

Argyris's ideas about matrix organizations

Defined power and responsibility

- Each employee has defined power and responsibility, and can participate in decisions about their activities.

Self-disciplined individuals

- Superior-subordinate relationships are replaced by self-disciplined individuals.

Project teams

- Project teams perform managerial functions, such as marketing, finance, and manufacturing.

Cohesive teams

- All members of a project team function as a cohesive team.

Consistent leadership

- The leadership of the project team should be consistent with the management approach.

Matrix Organization (in engineering)

Advantages	Disadvantages
• Oriented toward end results	• Conflict in organization authority exists
• Professional identification is maintained	• Possibility of disunity of command
• Pinpoints product-profit responsibility	• Requires manager effective in human relations

Strategic Business Units

Strategic business units – Distinct businesses set up as units in a larger company to ensure that certain products or product lines are promoted and handled as though each were an independent business.

Criteria for an SBU

- It must have its own mission, distinct from the missions of other SBUs.
- Have definable groups of competitors
- Prepare its own integrative plans fairly distinct from those of other SBUs
- Manage its own resources in key areas
- Be of an appropriate size (neither too large or too small)
- E.g., Project Finance & Structuring SBU (PF & S SBU) is the SBU of SBI.

Potential problems with strategic business units

- **Prahalad and Hammel** suggest that companies should invest in their **core competencies** and watch out for the tyranny of the SBUs. The core competency is the organization's collective learning, especially the capability to coordinate the different production skills and the integration of these skills into what they call "streams of technology."
- E.g., for car maker Honda, engines are the core products to which design and development skills are directed that result in end products such as cars and motorcycles.
- If the motorcycle division had received resources for development, it may not share this technology with a car division. The allocation of resources to individual SBUs can result in the underinvestment in core competencies (such as in engines) that benefit the total organization. Also, SBU managers may not be willing to share talented people and may hide them rather than lend them to another SBU.
- **Core competency** – Collective learning, coordination, and integration of skills to obtain "streams of technology."

The Virtual Organization

- Virtual organization – A rather loose concept of a group of independent firms or people that are connected through (usually) information technology.

The Boundaryless Organization

- Jack Welch, former CEO of General Electric, stated his vision for the company as a ‘boundaryless company.’ He meant, an “open, anti-parochial environment, friendly towards the seeking and sharing of new ideas, regardless of their origin.” The purpose of this initiative was to remove barriers between the various departments as well as between domestic and international operations. To reward people for adopting the “integration model,” bonuses were awarded to those who not only generated new ideas, but also shared them with others.
- E.g., an open university (university without a place)

Line/Staff Authority, Empowerment, and Decentralization

What kind of authority is found in an Organization Structure?

- The problem of line and staff.
- How much authority should be delegated, i.e., the decentralization of authority.
- Authority relationships, whether vertical or horizontal.

Vertical Authority Relationships – Top to down

Characteristics:

- **Hierarchy** – Authority is centralized at the top and gradually delegated to lower levels.
- **Chain of Command** – Employees report to their immediate supervisor.
- **Decision-making** – Decisions are made at higher level and implemented at lower level.
- **Accountability** – Subordinates are accountable to their superiors.

Horizontal Authority Relationship – same level

Characteristics

- **No hierarchical superiority** – individuals are at same level of authority.
- **Collaboration** – Focusses on teamwork, cooperation and sharing of information.
- **Decentralization** – collective decision making, without involving higher levels of authority.
- **Flexibility** – Promotes adaptability and innovation.